

11. 9:00 AM CASE NUMBER: C24-00428

CASE NAME: KEYNA BAKER VS. 4KS INVESTMENTS LLC

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: 4KS INVESTMENTS LLC

TENTATIVE RULING:

Summary

Defendant 4KS Investments LLC Motion to Compel Individual Arbitration, Dismiss Class Claims, and Stay Proceedings, along with the Request for Judicial Notice is unopposed. As such, the motion is **granted**. The Court will execute the proposed order lodged on January 20, 2026. This matter is stayed pending arbitration. No appearance is required at the hearing on May 6, 2026.

12. 9:00 AM CASE NUMBER: C24-01054

CASE NAME: SLIVER'S, LLC VS. CL LA FIESTA SQUARE CA LP

HEARING ON SUMMARY MOTION DEPT 16 NOTE: MSJ PAPERWORK TO BE FILED ON 12/1

FILED BY:

TENTATIVE RULING:

The hearing on the Motion for Summary Judgment is continued to June 3, 2026 at 9:00 a.m. No appearance is required on May 6, 2026.

13. 9:00 AM CASE NUMBER: C24-01961

CASE NAME: WILLIAM DEDMAN VS. BRIAN HOWARD

***HEARING ON MOTION IN RE: MOTION FOR JUDGMENT NOTWITHSTANDING THE VERDICT**

FILED BY:

TENTATIVE RULING:

Summary:

Defendant Natalia Howard served a Motion to Disqualify the Hon. Benjamin T. Reyes II on May 4, 2026. The Motion was not filed until May 5, 2026, and there is no proof of service on file that demonstrates that Plaintiff was served as required by Court rules. Notwithstanding these procedural irregularities, and in an abundance of caution, the Court vacates this Motion pending a ruling on Defendant's Motion. No appearance is required at the hearing on May 6, 2026.

14. 9:00 AM CASE NUMBER: C24-02490

CASE NAME: SCOTT DINSDALE VS. CARDIGAN, INC.

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: CARDIGAN, INC.

***TENTATIVE RULING**

The Motion of Defendants Cardigan, Inc. and Hyundai Capital America to Compel Arbitration and Stay Action is **granted**. The parties shall submit to binding arbitration before JAMS, in accordance with the arbitration provision in the Lease and their agreement as reflected in counsel's October 17, 2025 correspondence.

The action is stayed pending completion of the arbitration, except that the Court sets an arbitration

status conference on **November 12, 2026 at 8:30 a.m. in Department 16**. The parties shall file a joint status report no later **than October 20, 2026**.

Background

Plaintiff Scott Dinsdale filed this lemon law action against Defendants on September 17, 2024. Plaintiff alleges that on or about March 30, 2024, he leased a new 2024 Hyundai Ioniq (the Vehicle) from Defendant Cardigan, Inc. During the warranty period, Plaintiff experienced certain mechanical defects in the Vehicle. (Complaint, pars. 23-24.) The complaint includes ten causes of action: (1) violation of the Consumer Legal Remedies Act ("CLRA"), (2) intentional misrepresentation, (3) concealment, (4) negligent misrepresentation, (5) breach of express warranty, (6) failure to promptly purchase product, (7) breach of the implied warranty of merchantability, (8) violation of the Rosenthal Fair Debt Collection Practices Act, (9) violations of the Unfair Competition Law, and (10) a cause action under Vehicle Code §11711. The named defendants were Cardigan, Hyundai Capital America and Philadelphia Indemnity Insurance Company, the surety that issued a Dealer bond pursuant to Vehicle Code §11711. The surety is no longer a party to the case.

Plaintiff's Lease for the Vehicle contains an arbitration provision which states in pertinent part:

In the event of a claim or dispute between you and us (including our respective agents, employees, officers, directors, affiliates, subsidiaries and parents) ("we" or "us"), whether in contract, tort, statute, or otherwise, arising under or relating to this Lease or the Leased Vehicle, your experience with us, or any resulting transaction or relationship, the claim or dispute must be resolved by binding arbitration, as described below, instead of in court. Any claim or dispute (except for a claim challenging the validity or enforceability of this Agreement to Arbitrate or the Class Action Waiver below) must be resolved by binding arbitration if either side requests it, including a claim challenging the validity or enforceability of this Agreement to Arbitrate. **THIS MEANS IF EITHER YOU OR WE CHOOSE ARBITRATION, NEITHER PARTY SHALL HAVE THE RIGHT TO LITIGATE SUCH CLAIM IN A COURT OR TO HAVE A JURY TRIAL....**

(Hafstad Decl., Ex. A, ¶ A, at p. 9 [capitalization and bold in original].)

The arbitration provision further states:

Governing Law and Rules. This Agreement to Arbitrate is governed by the Federal Arbitration Act (FAA). Arbitration must proceed only with the American Arbitration Association (AAA), JAMS, or any organization that you choose subject to our approval. The rules for the arbitration will be those in this Agreement to Arbitrate and the procedures of the chosen arbitration organization.

(Hafstad Decl., Ex. A, ¶ F, at p. 9, bold in original)

Dealer made a request for arbitration on October 7, 2025 and October 10, 2025. On October 17, 2025, Plaintiff asked whether Dealer would agree to arbitrate with JAMS, to which Dealer responded affirmatively the same day. Dealer drafted a stipulation and sent it to Plaintiff. On November 6, 2025, Plaintiff declined to participate in arbitration. (Stearns Decl. Exhs. A-D.) Accordingly, on January 6, 2026, Defendants filed this motion to compel arbitration and for a stay.

Plaintiff filed his opposition on April 23, 2026. Plaintiff does not dispute that a valid arbitration agreement exists, or that the claims alleged in the complaint fall within the scope of the agreement. Instead, he argues that Defendants have waived the right to compel arbitration. Plaintiff asks the court to deny the motion in its entirety, but if the motion is granted, Plaintiff asks that the arbitration be before JAMS.

Legal Standard

Under California and federal law, public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 8-9; *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.) Accordingly, whether an agreement is governed by the California Arbitration Act ("CAA") or the Federal Arbitration Act ("FAA"), courts resolve doubts about an arbitration agreement's scope in favor of arbitration. (*Moncharsh, supra*, 3 Cal.4th at 9.) "[U]nder both the FAA and California law, 'arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.' " (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1247.)

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) the agreement covers the controversy or controversies in the dispute. (Code Civ. Proc., § 1281.2; see also *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 356-57.)

"If a court of competent jurisdiction. . .has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc., § 1281.4.)

Analysis

Existence of an Agreement to Arbitrate

A party moving to compel arbitration can meet its "initial burden to show an agreement to arbitrate by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature." (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.)

Here, Defendants meet their initial burden by attaching a copy of the arbitration agreement bearing Plaintiff's signature. (Hafstad Decl., Ex. A.) Plaintiff does not dispute that an arbitration agreement exists or that it covers his claims in this action.

Waiver

Plaintiff argues Defendant has waived its right to compel arbitration. Thus, the question is whether

Defendants knowingly relinquished the right to arbitrate by acting inconsistently with that right. "The waiver inquiry is exclusively focused on the waiving party's words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant." (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584.)

In *St. Agnes v. PacifiCare of California* (2003) 31 Cal.4th 1187, 1196 (St. Agnes), the California Supreme Court adopted a multi-factor test from the Tenth Circuit opinion in *Peterson v. Shearson/American Express, Inc.* (10th Cir. 1988) 849 F.2d 464 (Peterson) wherein a court may consider: (1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether the "litigation machinery has been substantially invoked" and the parties "were well into preparation of a lawsuit" before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and (6) whether the delay affected, misled, or prejudiced the opposing party. (*Peterson, supra*, 849 F.2d at pp. 467-68; *St. Agnes*, at p. 1196.)

However, following the U.S. Supreme Court's decision in *Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, courts may no longer condition a determination of waiver on prejudice. (*Id.* at p. 417.) The remaining Peterson factors are proper considerations in the waiver inquiry. (See *Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963.)

Plaintiff's waiver argument is based on Cardigan's litigation conduct and delay. Before Cardigan ever demanded arbitration, it filed an Answer on December 12, 2024, asserting 57 affirmative defenses, none of which mentioned the arbitration agreement. On February 18, 2025, Cardigan filed a Case Management Statement that requested a non-jury trial, identified trial counsel, provided dates of unavailability for trial, did not check the box indicating a desire to participate in binding private arbitration, did not identify a motion to compel arbitration among anticipated motions, and stated Cardigan's intent to serve and complete written discovery, depositions, and expert discovery by September 2025. On August 23, 2025, Cardigan served responses to Plaintiff's written discovery and verified the responses on October 3, 2025. Cardigan first demanded arbitration on October 7, 2025, approximately 10 months after filing its Answer, and filed this motion on January 6, 2026, approximately two months after Plaintiff declined to stipulate to arbitration. After filing the motion, Cardigan continued to participate in the litigation by serving supplemental discovery responses on April 10, 2026, and producing its employee, Jhosselin Lopez Cisneros, for deposition.

Defendants respond that the record does not support a finding of waiver. Cardigan's motion to compel arbitration is the first substantive motion filed in this case. Cardigan has not filed any dispositive motions and has not requested any ruling from the Court on the merits of Plaintiff's claims. Defendants claim the absence of merit-based litigation is highly significant in the waiver determination because Courts consistently find no waiver where a party has not invoked the Court's adjudicative authority to resolve the substance of the dispute. (See, e.g., *Armstrong v. Michaels Stores, Inc.* (9th Cir. 2023) 59 F.4th 1011, 1015-1016; *Fox v. Experian Info. Sols., Inc.* (E.D. Cal. 2024) 718 F. Supp. 3d 1231, 1239.)

Defendants argue it does not matter that Cardigan participated in discovery propounded by Plaintiff

because what matters is whether it engaged the litigation machinery, which did not happen here. Defendants emphasize that Cardigan merely responded to Plaintiff's written discovery and participated in a deposition only after being ordered to do so. Contrary to Plaintiff's assertion that Cardigan knowingly and intentionally relinquished its right to arbitrate, Cardigan points out that it affirmatively invoked its right to arbitration when it asked Plaintiff to stipulate to arbitration in October 2025. (See Stearns Decl. ¶ 2-5, Exhs. B-D.) When Plaintiff later refused, Cardigan promptly filed this motion. Defendants argue this sequence of events is not fundamentally inconsistent with the right to arbitrate and instead shows a good-faith effort to enforce the arbitration agreement without the need for court intervention.

"To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Quach, supra*, 16 Cal.5th at 584.) "Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with the intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it." (*Ibid.*)

In opposing the motion, Plaintiff primarily relies on *Davis v. Shiekh Shoes, supra*, where the Court of Appeal affirmed a finding of waiver. *Davis* is distinguishable. There defendant Sheikh delayed seventeen months before moving to compel, engaged in extensive discovery after the court scheduled a jury trial, failed to oppose the plaintiff's "multiple" requests to continue trial, and ultimately stipulated to a trial continuance stating that Sheikh's counsel "require[d] additional time to complete necessary discovery and prepare for trial" and "the Parties have agreed to an extension of the trial date and related deadlines in order to complete discovery in this matter, as well as allow time to address and resolve any potential disputes" which the Court deemed "an affirmative averment that Shiekh intended to proceed to trial on the merits." (*Davis*, 84 Cal.App.5th at p. 970.) Sheikh never invoked arbitration before filing its motion to compel. The Court of Appeal observed that while "it would not have been imprudent for Shiekh to preserve its right to a jury trial and ability to conduct discovery in the event its motion proved unsuccessful, it did so without making known to the court its intent to seek arbitration. The act of preserving its rights to a jury trial and discovery while remaining silent on arbitration was inconsistent with a right to arbitrate." (*Ibid.*)

Applying the factors in *St. Agnes* to this case, Defendants' litigation conduct is insufficient to support waiver. Defendants' actions, while not entirely consistent with an intent to arbitrate, do not establish an intentional relinquishment of that right. (*Quach, supra*, 16 Cal.5th at p. 584.) Defendants engaged in only minimal actions inconsistent with the right to arbitrate. They filed an answer that did not assert arbitration as an affirmative defense and filed case management statements that demanded a non-jury trial, set forth a discovery schedule, and did not check the box indicating a willingness to participate in binding private arbitration. The probative value of the latter point is diminished as to two of the three case management statements, which were filed contemporaneously with Defendants' arbitration demand to Plaintiff.

Defendants did not substantially invoke the litigation machinery. Defendants did not file any motion seeking a determination of the merits of Plaintiff's claims, as this motion is the first substantive motion they have filed. As to discovery, it was Plaintiff who propounded it, and Defendants produced a witness for deposition only after being ordered to do so. Defendants did not request arbitration

enforcement close to a trial date (no trial date has been set and the next CMC is not scheduled until August 3, 2026). Defendants did not attempt to take advantage of judicial discovery procedures unavailable in arbitration as their participation was limited to responding to Plaintiff's discovery and complying with a court order. Although Defendants demanded arbitration approximately ten months after appearing, that alone is not dispositive. Defendants invoked arbitration on October 7, 2025, agreed to JAMS on October 17, 2025 and drafted a stipulation memorializing that agreement, then filed this motion approximately two months after Plaintiff would not stipulate.

Proof by clear and convincing evidence is "a heavy burden, far in excess of the preponderance sufficient for most civil litigation." (*Christian Research Institute v. Alnor* (2007) 148 Cal.App.4th 71, 84.) The California Supreme Court has stated, "doubtful cases will be decided against a waiver." (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 31.)

The Court does not find waiver by clear and convincing evidence on this record.

Forum

If the Court does not find waiver, Plaintiff requests that the matter be ordered to arbitration before JAMS. (Opp. at p. 8.) Although Defendants' Reply does not address the request, the Court finds JAMS to be the appropriate forum for two reasons. First, the arbitration agreement itself permits the customer to choose the arbitration organization, identifying AAA and JAMS as pre-approved options. (Hafstad Decl., Ex. A, ¶ F, at p. 9.) Plaintiff has selected JAMS, and the contract authorizes that selection.

Second, the parties previously agreed to JAMS during their pre-motion stipulation discussions. When Plaintiff inquired on October 17, 2025 whether Cardigan would arbitrate before JAMS, Cardigan's counsel responded the same day that Defendants were "amenable to JAMS." (Stearns Decl., Exh. B.) Cardigan thereafter drafted and transmitted a stipulation memorializing that agreement. (*Id.*, Exhs. C–D.) The Court will therefore order arbitration to proceed before JAMS.

Order

For the foregoing reasons, the motion is **granted**. The parties shall submit to binding arbitration before JAMS. The action is stayed pending completion of the arbitration, except that the Court sets an arbitration status conference on **November 12, 2026 at 8:30 a.m. in Department 16**. The parties are ordered to file a joint status report no later than **October 20, 2026**.

15. 9:00 AM CASE NUMBER: C24-02810
CASE NAME: DOMINGA ELEANOR ULIBARRY JIMENEZ VS. TERRICE WARREN
***HEARING ON MOTION IN RE: ORDER IMPOSING SANCTIONS**
FILED BY: ULIBARRY JIMENEZ, DOMINGA ELEANOR
TENTATIVE RULING:

Summary

Plaintiff Dominga Eleanor Ulibarry Jimenez Motion for an order imposing issue sanctions and evidence